quite obvious. Most of the tax forgone has been availed by existing companies as their profits were taxed at lower rates in 2019–20 and 2020–21. This was immediately realized by the stock markets, which reset equity prices based on newly expected corporate profits. The increase in corporate profits net of taxes during the year 2020–21, despite the pandemic, reflects the cost cutting corporates have been able to effect as well as lower incidence of corporate taxes.